is identical to income earned, which Mody alleges is a violation of the international best practice

➘ The proper approach, according to him, is to recognise both income and expenditure as imperfect macroeconomic aggregates, and then to combine them to assess the state of the economy



➘ **Arvind Subramanian,** former chief economic advisor, says that India should look at new ways of calculating its GDP, and must take into account the production numbers, since both the income and expenditure numbers may not be accurate

➘ The nominal figures track the real numbers until the first half of FY23, but then they decline by 14 per cent over the past three quarters, which means the economy decelerated sharply to very modest levels, Subramanian contends

gas, water supply & other utility services; construction; trade, hotels, public administration, defence & other services

THE REBUTTAL



➘ India's chief economic advisor **V. Anantha Nageswaran** says the government has been consistent in its method for calculating growth

➘ When the same NSO reported the severest contraction of the Indian economy in the first quarter of 2020, he alleges, the naysayers had called it credible as "it suited their narrative"

➘ In Q1 of FY24, the discrepancy of 2.8 per cent has a plus sign. This indicates that the expenditure side has explained only 97.2 per cent of the income side, argues Nageswaran, and not that the 2.8 per cent that has yet to be explained does not exist

WHY GROWTH IS STRONG

D.K. Joshi, chief economist with Crisil, strongly disagrees. Most indicators, he says, are showing strong growth. "You can't pick up something from GDP and start arguing. The argument has to be in line with the other variables," he says. The more reliable side of GDP is the supply side—agriculture, industry and services. "You need to look at the micro data and correlate...7.8 per cent in the first quarter correlates with the credit growth, investment activity and PMI (purchasing managers' index, a measure of industrial activity). The discrepancies are not new, they were there earlier too."

A Crisil note buttresses Joshi's point. Per the note, the government had frontloaded its capex at the start of the fiscal, along with the revival of private investment. The share of investment in the GDP remains close to a decadal high of around 35 per cent. Meanwhile, private consumption recorded a sharp uptick at 6 per cent. What spurred demand was the sharp fall in retail inflation in the first quarter, adding to the consumers' purchasing power, though it may not be sustainable as inflation has remained high in recent months. Support also came from bank credit, which has maintained double-digit growth despite elevated interest rates. The services sector saw the sharpest rise in growth, especially in financial, real estate and professional services.

"The methodology needs to change. We are still using an old base year of 2011-12 [to compute GDP]. It needs to be advanced"



—MADAN SABNAVIS
Chief Economist, Bank of Baroda

According to Joshi, demand side estimations began some years ago. "The first quarter of this fiscal was strong and peaked...this year, growth will be moderate. We'll still get around 6 per cent, which is very decent considering what is happening around the world," he adds. Post-pandemic, the recovery has been better than predicted. "If the deflator goes down, as it is right now, then real GDP will look up. But that is how it is estimated," he says.

NEEDED, A NEW METHODOLOGY

India has been using the current methodology to calculate GDP for years. Many are now questioning it and advocating a change. "We are still using an old base year of 2011-12 (to compute GDP). It needs to be advanced," says Madan Sabnavis, chief economist with the Bank of Baroda. A base year is used to compare the measure of business activity or economic or financial index. Without changing the base year, Sabnavis says, the value of certain kinds of goods and services can't be truly assessed, as they would have changed quantitatively. "Due to the dynamic nature of the economy, its structure undergoes a change in composition due to changes in goods and services. Therefore, we cannot use the 2011-12 base year today," he adds.

India's growth story has never been in doubt. Nor is there any reason to believe we will not soon be the world's third-largest. What we need is credible data, and changing the way we calculate it can go far in an honest assessment of where we stand. ■